stands to reason that some financial advisor, somewhere, somehow, must be recommending it. And if so, this strikes us as objectively bad advice.

While an index fund is a fairly straightforward example for many, it illustrates the point that there are investors out there who are not thinking about index investing in the right way. And so what happens when we move on to additional “hard” areas in finance? Questions about diversification, asset allocation, risk management, exotic hedge fund strategies, and so on; how do we assess decisions made by advisors in these areas? What about our favorite complicated subject—taxes? The same concept applies. Just because an advisor can give you good advice on “easy” topics does not mean you should necessarily rely on advice in other areas.

Various studies have shown that we systematically overestimate the quality of advice we receive. For example, the working paper referenced above describes how the financial services regulator in Australia undertook a study of how consumers perceived the quality of advice they were getting. They evaluated the objective quality of advice given to a small sample of Australians seeking retirement advice. They found only 3 percent of the advice could be considered good quality, while the majority of the advice (58 percent) was adequate and the remaining advice was poor. Despite these low evaluations from the Australian regulator, most participants (86 percent) ranked the quality of the advice they were receiving as “high.” In addition, 81 percent trusted the advice they received from their advisor “a lot.” This simple study suggests that people can have difficulty objectively assessing the quality of advice given. And why should we expect they could accurately assess such advice? The investing skills they lack, which are why they are seeking advice in the first place, are the same skills they would need to differentiate good from bad advice. Often, what we perceive as high-quality advice is, in fact, terrible advice.

At the end of the day, a trustworthy and competent financial advisor can be an exceptional ally for a struggling investor. But how we find these wonderful advisors is a challenge: It is difficult to assess the quality of advisors and their financial advice. As consumers of financial advice, we can at least be aware of common behavioral pitfalls to which we may be vulnerable. We should also be aware that much of the advice from financial experts is poisoned with bias and overconfidence. All of this suggests that managing our own portfolios is not such a radical concept.